

Assets turned into cash and application of proceeds	Amount	"Expected loss" thereon and application of difference
Reduction in inventory	\$3,000,000	\$1,000,000
Reduction in receivables	1,800,000	350,000
Reduction in plant, etc.	1,000,000	750,000
	<u>\$5,800,000</u>	<u>\$2,100,000</u>
Actual loss sustained	800,000	800,000
Net amount realized	<u>\$5,000,000</u>	
Applied as follows:		"Gain" on basis of liquidation values \$1,300,000
To common dividends	\$ 700,000	Applied as follows:
To payment of liabilities	2,500,000	To common dividends \$700,000
		To increase liquidating value \$600,000
To redemption of preferred	300,000	
To retirement of common	500,000	
To increase in cash assets	<u>1,000,000</u>	
	<u>\$5,000,000</u>	

Is Shrinkage in Value of Normal Inventory an Operating Loss? A further question may be raised with respect to changes in the inventory account, *i.e.*, whether or not a mere reduction in the *carrying price* should be regarded as creating an operating loss. In the case of Plymouth Cordage we note the following comparative figures:

Inventory Sept. 30, 1929	\$8,059,000
Inventory Sept. 30, 1932	3,150,000
Decrease	60%

In the meantime the price of fibers had declined more than 50%, and there was good reason to believe that the actual number of pounds of fiber, rope and twine contained in the company's inventory was not very much smaller in 1932 than in 1929. At least half of the decline in the inventory account was therefore due solely to the fall in unit prices. Did this portion of the shrinkage in inventory values constitute an operating loss? Could it not be argued that its fixed assets had suffered a similar reduction in their appraisal value and that there was as much reason to charge this shrinkage against earnings as to charge the shrinkage in the carrying price of a certain physical amount of inventory?